

FMCG ERP SYSTEM

FMCG ERP Finance & Payroll Manual

Accounting · Bank Reconciliation · M-Pesa · Tax · Payroll · Fixed Assets

Audience: Finance Officers, Accountants, Payroll Administrators, CFO

Version: v2.0 — Post-Recovery Edition

Date: 24 May 2026

Status: Confidential — Internal Use Only

ERP button/link recovery complete. All navigation targets restored and verified. Smoke test: 141/141 routes passed. BVT: 0. Broken action cards: 0.

FMCG ERP — Finance & Payroll Manual v2

Version: 2.0 (post-recovery)

Date: 2026-05-24

Audience: Finance Managers, Accountants, Payroll Officers, Tax Compliance Teams

Modules Covered: Finance · Cashbook · Payroll · Expenses · Fixed Assets · Bank Reconciliation · Tax/eTIMS · Contracts · Invoice Matching

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1. Module Overview

What it does: Complete financial management — chart of accounts, journals, cashbook, accounts payable/receivable, payroll, budgeting, tax compliance (eTIMS/VAT), bank

reconciliation, and fixed asset management.

Who uses it:

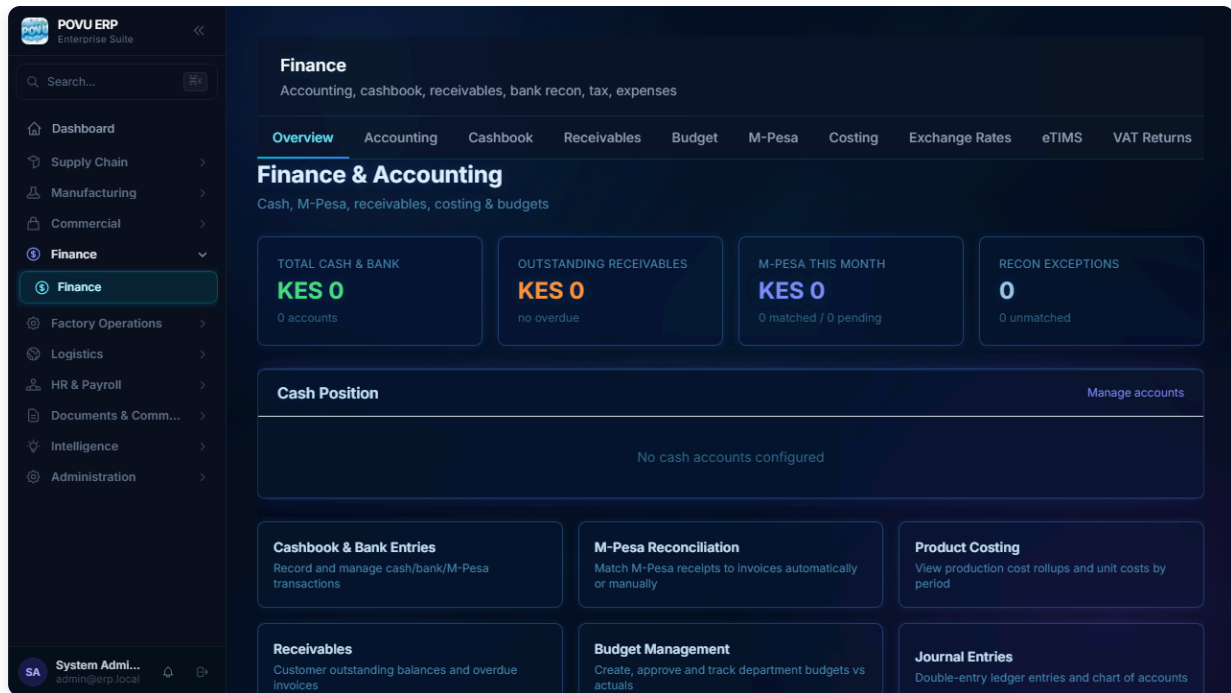
- Finance Manager — oversees accounts, approves journals, reviews reports
- Accountant — posts journals, reconciles bank, manages AP/AR
- Payroll Officer — runs monthly payroll, manages employee salary profiles
- Tax Officer — manages eTIMS submissions, VAT returns, withholding tax

When to use it:

- Monthly payroll processing
- Daily cashbook entries and bank reconciliation
- Invoice matching after goods receipt
- eTIMS submission for customer invoices
- VAT return preparation
- Fixed asset depreciation runs
- Budget vs. actual monitoring

Modules at a glance:

Feature	Route	Purpose
Finance	/dashboard/finance	Full finance workspace
Payroll	/dashboard/payroll	Employee payroll
Expenses	/dashboard/expenses	Expense claims
Fixed Assets	/dashboard/fixed-assets	Asset register and depreciation
Bank Reconciliation	/dashboard/bank-reconciliation	Bank statement matching
Bank API	/dashboard/bank-api	Bank feed integration
Tax	/dashboard/tax	Tax management
Contracts	/dashboard/contracts	Financial contracts
Invoice Match	/dashboard/invoice-match	AP invoice matching



Finance hub overview — KPIs, recent transactions, and module shortcuts.

2. Finance Hub

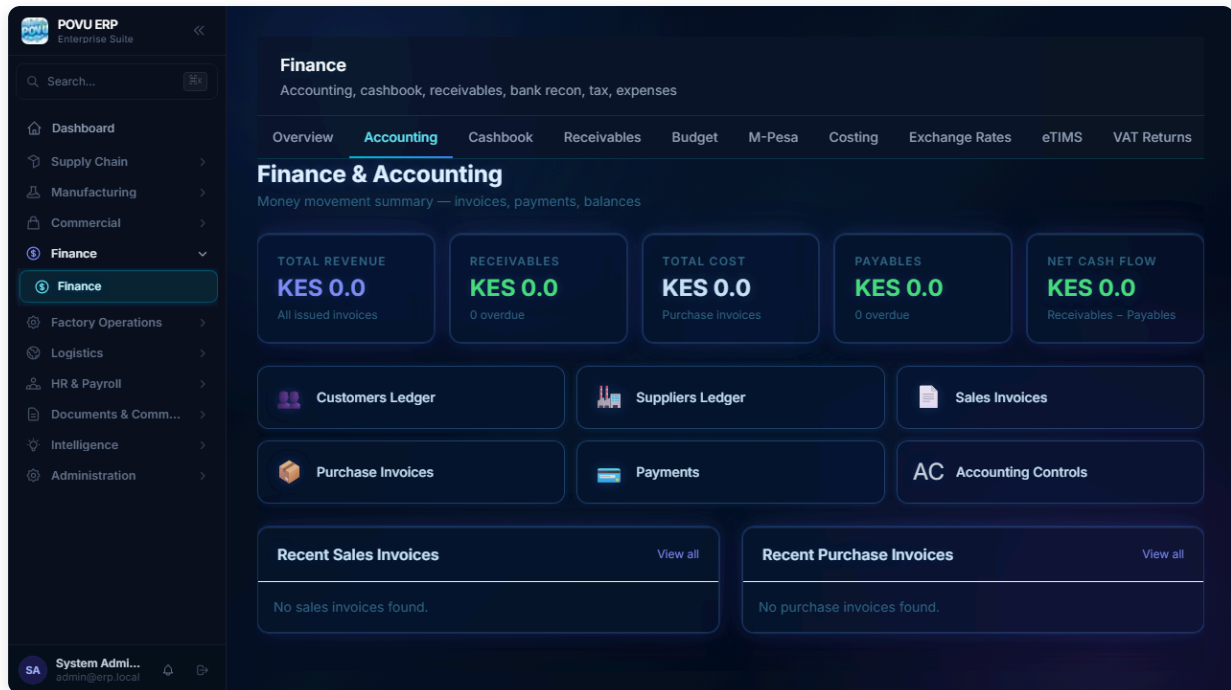
Route: `/dashboard/finance`

Required permission: `finance.view`

Tabs

Tab	Purpose
Overview	Finance KPI dashboard
Accounting	Chart of accounts and journal entries
Cashbook	Cash and bank account management
Receivables	Customer outstanding balances
Budget	Budget planning and variance
M-Pesa	M-Pesa transaction reconciliation
Costing	Production cost allocation
Exchange Rates	Multi-currency exchange rate management
eTIMS	KRA eTIMS submission log
VAT Returns	VAT return preparation
Bank Recon	Bank reconciliation workspace
Invoice Match	Supplier invoice matching
Fixed Assets	Asset register link
Dimensions	Financial dimensions/cost centres
Dunning	Overdue customer payment follow-up
Tax	Tax code configuration
Bank API	Bank feed settings
Expenses	Expense claim management

Accounting Tab



Accounting module — chart of accounts, journal entries, and trial balance.

Chart of Accounts structure:

- Assets (1xxx)
- Liabilities (2xxx)
- Equity (3xxx)
- Revenue (4xxx)
- Cost of Sales (5xxx)
- Expenses (6xxx)

Posting a Journal Entry:

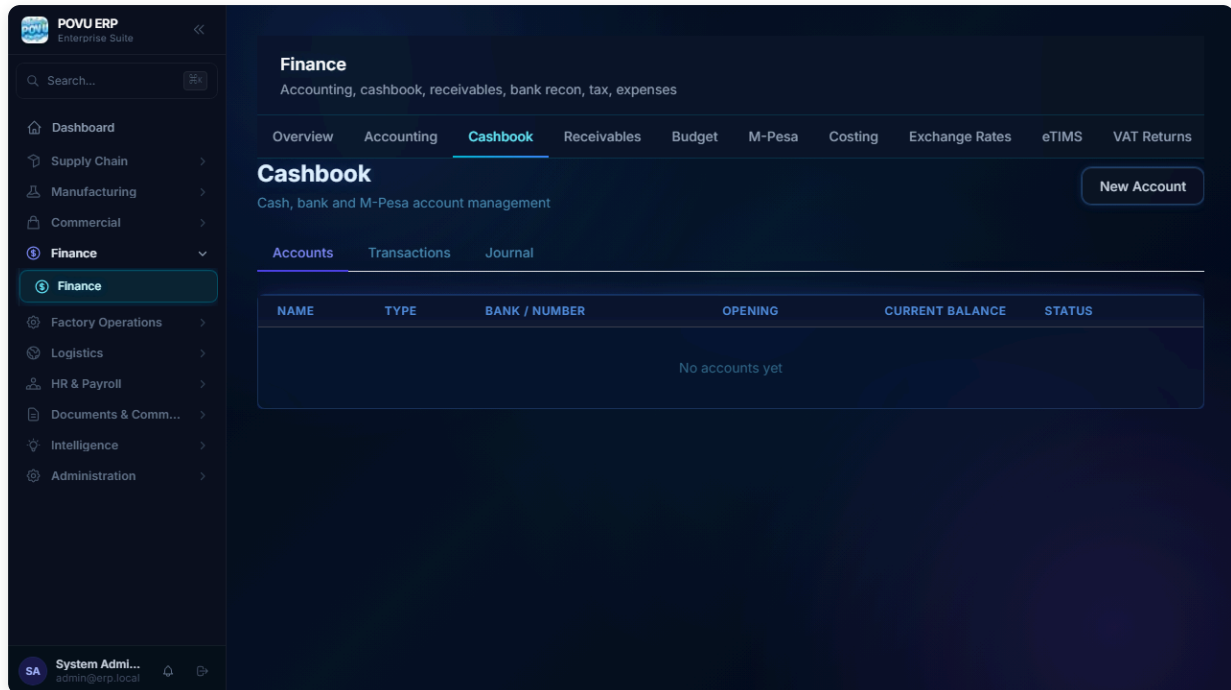
1. Accounting tab → + **New Journal**
2. Set journal date and reference
3. Add debit lines and credit lines (must balance)
4. Attach supporting documents
5. Submit for approval (if approval chain configured)
6. Approve → journal posted; entries reflected in trial balance

3. Cashbook & Accounts

Route: </dashboard/cashbook> (also accessible via Finance → Cashbook tab)

What it does

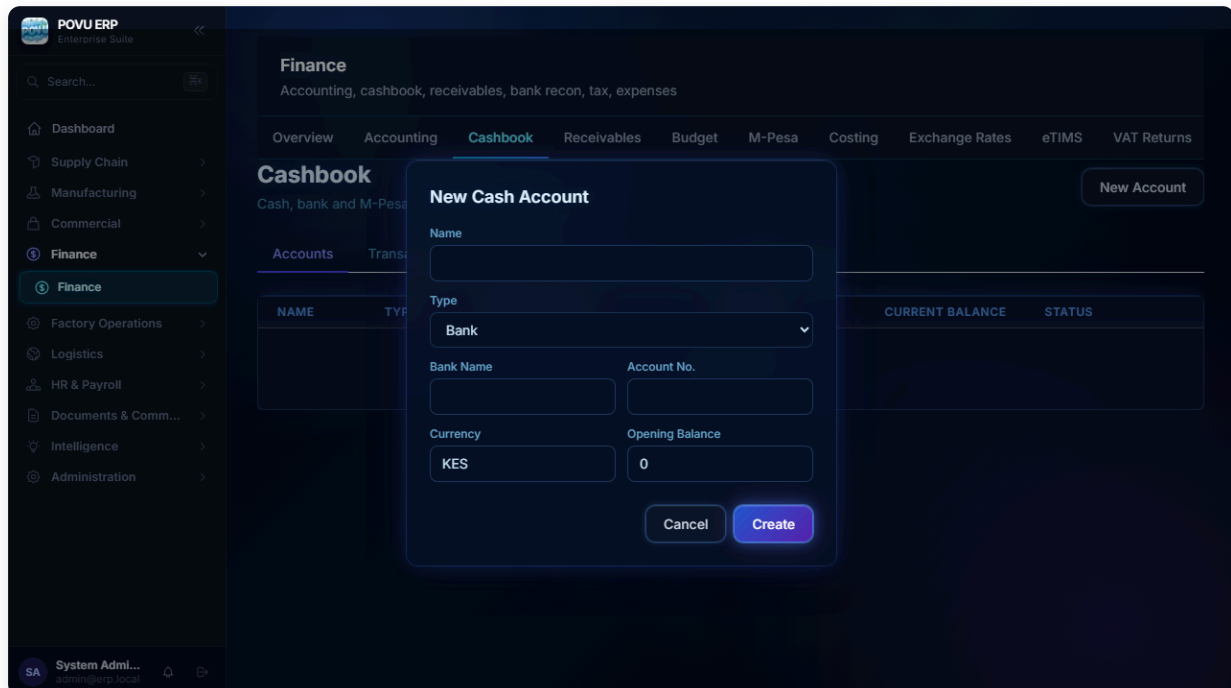
Manages cash accounts, petty cash, bank accounts, and transactions. Records receipts and payments not covered by the AP/AR modules.



Cashbook accounts — bank accounts and petty cash funds.

Creating a Cashbook Account

Click + New Account:



Field	Required	Notes
Account Name	Yes	e.g. "Stanbic Current Account"
Account Type	Yes	Bank / Petty Cash / Mobile Money
Currency	Yes	KES, USD, etc.
Opening Balance	No	Balance at go-live date
Bank Name	No	For bank accounts
Account Number	No	Bank account number
Branch	No	Bank branch

Account Type Dropdown:

The screenshot displays the 'New Cash Account' form within the POVU ERP system. The form is a modal window with the following fields and options:

- Name:** A text input field.
- Type:** A dropdown menu with options: Cash, Bank, and M-Pesa.
- Bank Name:** A text input field.
- Account No.:** A text input field.
- Currency:** A dropdown menu with the selected option 'KES'.
- Opening Balance:** A text input field with the value '0'.

At the bottom of the form are two buttons: 'Cancel' and 'Create'.

The background interface shows the 'Finance' module with tabs for Overview, Accounting, Cashbook, Receivables, Budget, M-Pesa, Costing, Exchange Rates, eTIMS, and VAT Returns. A 'New Account' button is located in the top right corner of the modal window.

Cashbook Transactions Tab

The screenshot shows the 'Cashbook' section under the 'Finance' menu. The 'Transactions' tab is selected, displaying a table with columns: DATE, DESCRIPTION, DIRECTION, AMOUNT, STATUS, and REFERENCE. The table is currently empty, showing 'No transactions'. A 'New Account' button is visible in the top right corner of the Cashbook section.

Transaction history — all receipts and payments with running balance.

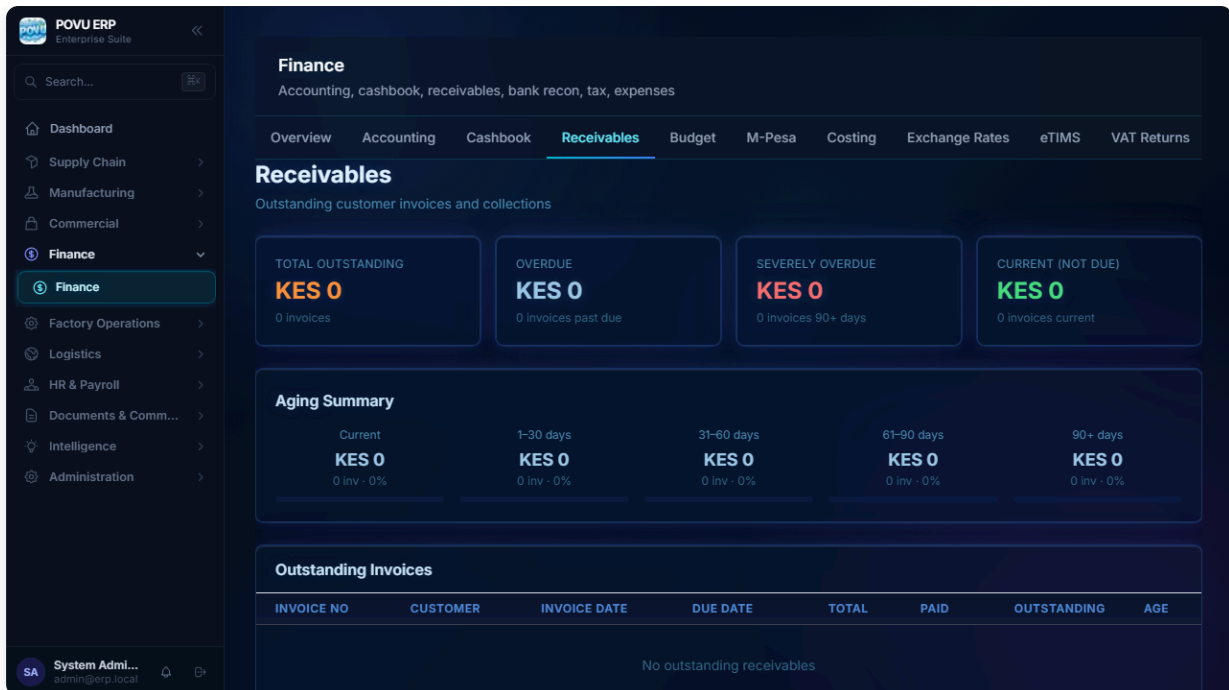
Journal Tab

The screenshot shows the 'Cashbook' section under the 'Finance' menu. The 'Journal' tab is selected, displaying a table with columns: ENTRY NO, DATE, DESCRIPTION, MODULE, DEBIT, CREDIT, and POSTED. The table is currently empty, showing 'No journal entries'. A 'New Account' button is visible in the top right corner of the Cashbook section.

Cashbook journal entries — linked to general ledger.

4. Accounts Receivable

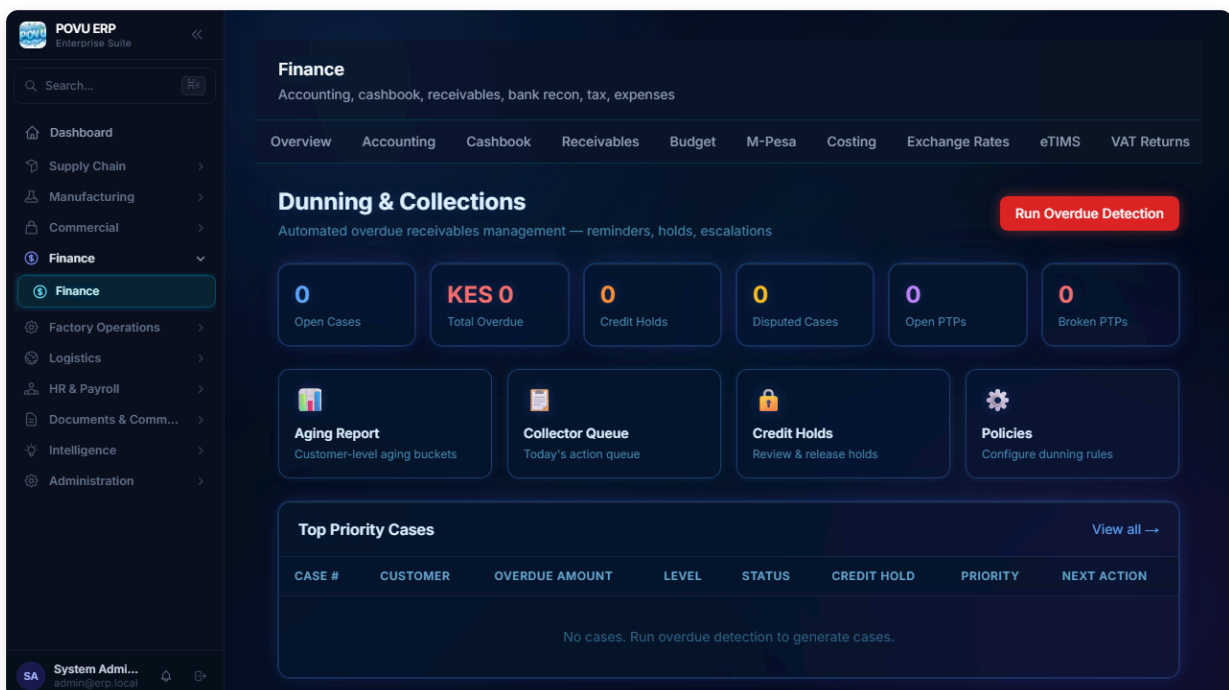
Tab: Receivables



Accounts receivable — outstanding customer invoices by age bucket.

Aging buckets: Current · 1-30 days · 31-60 days · 61-90 days · 90+ days

Dunning Tab:



Dunning — automated overdue payment reminders by level (friendly → formal → legal).

Dunning workflow:

1. System flags invoices past due date
2. Level 1 reminder sent at 7 days overdue (automated email)
3. Level 2 at 30 days (formal notice)
4. Level 3 at 60 days (legal/collections)

5. Manually escalate or resolve from Dunning tab

5. Budgeting

Tab: Budget

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Finance
Accounting, cashbook, receivables, bank recon, tax, expenses

Overview Accounting Cashbook Receivables **Budget** M-Pesa Costing Exchange Rates eTIMS VAT Returns

Budget Management
Department budgets, approvals, and variance tracking

New Budget

Total Budgeted
KES 0

Total Actual
KES 0

Variance
+KES 0

Alerts
0 critical / 0 warning

Budgets

YEAR	DEPARTMENT	TYPE	VER	TOTAL	STATUS
No budgets					

Select a budget to view lines

Click a budget row on the left

Budget vs Actual 2026 All Departments

DEPARTMENT	CATEGORY	MONTH	BUDGETED	ACTUAL	VARIANCE	VAR %	UTILIZATION
No budget vs actual data for 2026							

System Admin...
admin@erp.local

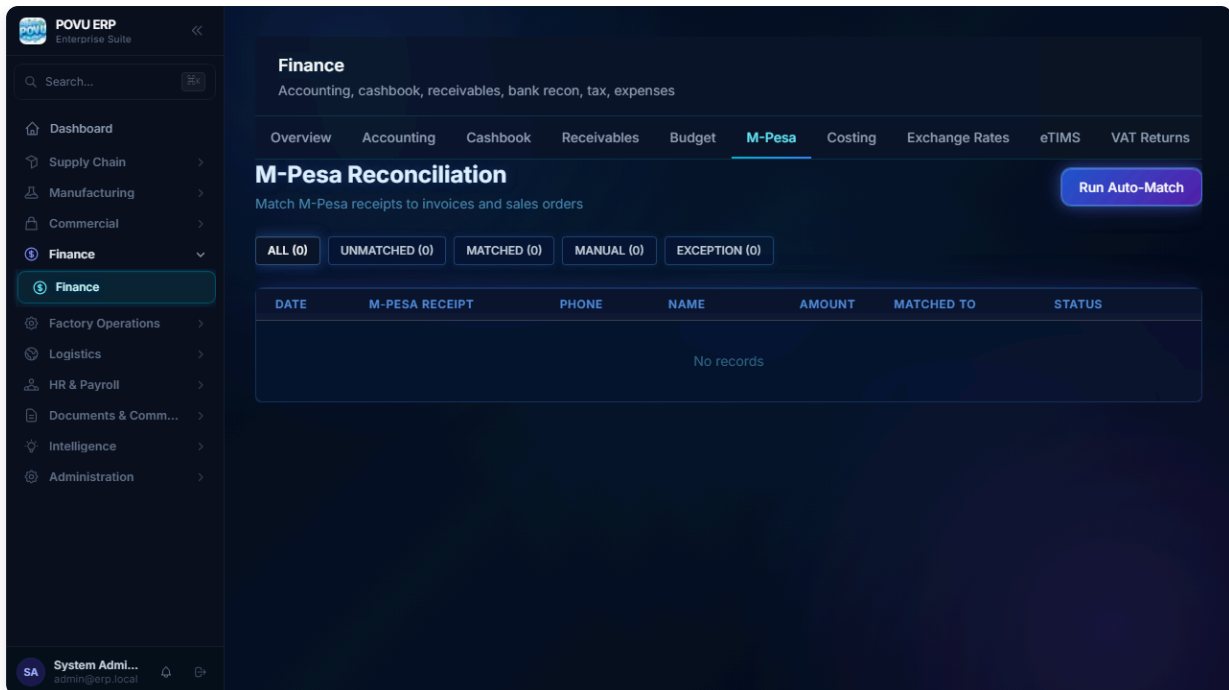
Budget management — define annual budget by account and cost centre, track variances monthly.

Budget workflow:

1. Create budget for financial year
2. Distribute across periods (monthly)
3. Assign to accounts and cost centres
4. Monitor actual vs. budget in real-time
5. Budget amendments require finance manager approval

6. M-Pesa Integration

Tab: M-Pesa



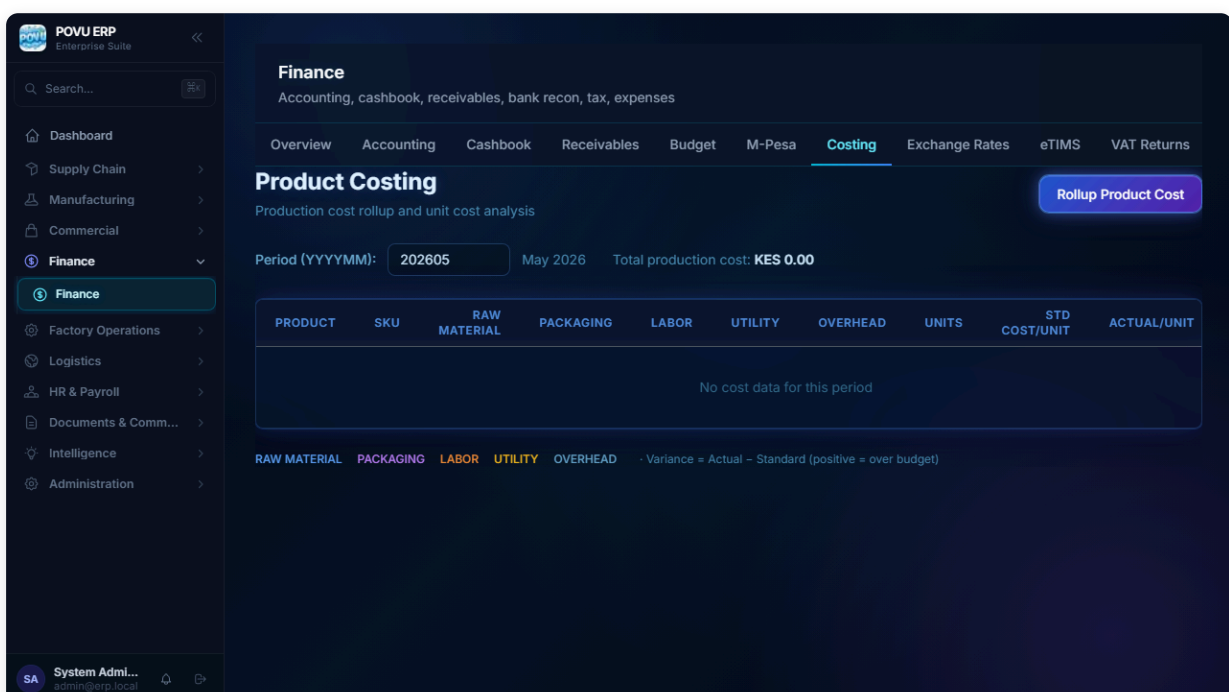
M-Pesa transactions — incoming and outgoing M-Pesa payments, auto-matching to invoices.

Auto-matching: M-Pesa transactions with invoice reference numbers are auto-matched. Unmatched transactions appear in the **Unmatched** sub-tab for manual allocation.

See also: Finance → Integrations M-Pesa tab (</dashboard/integrations/mpesa>) for API configuration.

7. Production Costing

Tab: Costing



Production cost allocation — material, labor, and overhead cost per production order.

Links to Manufacturing → Production → Costing tab for drill-down detail.

8. Exchange Rates

Tab: Exchange Rates

POVU ERP
Enterprise Suite

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Administration

Finance
Accounting, cashbook, receivables, bank recon, tax, expenses

Overview Accounting Cashbook Receivables Budget M-Pesa Costing **Exchange Rates** eTIMS VAT Returns

Exchange Rates
Manage daily foreign exchange rates vs KES base currency

Add / Update Rate

Currency: USD Date: 05/19/2026

Rate to KES *: e.g. 130.50 Source: Manual

Notes

Save Rate

Currency Converter

Amount: 100 From Currency: USD

Convert to KES

Latest Rates

CURRENCY	RATE (1 UNIT -> KES)	DATE	SOURCE
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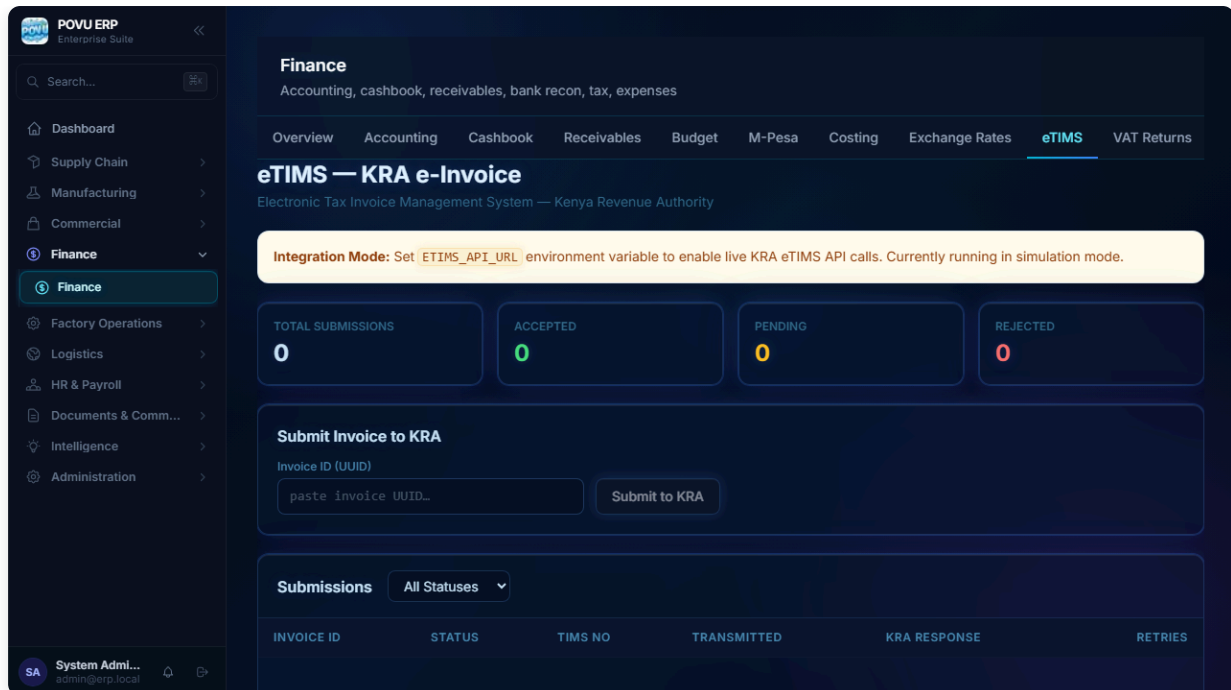
Exchange rate management — maintain rates for multi-currency transactions.

Update rates daily or weekly. Historic rates retained for revaluation and reporting.
Supports: KES, USD, EUR, GBP, ZAR, UGX, TZS, ETB.

9. eTIMS (KRA Tax Compliance)

Tab: eTIMS

Route: `/dashboard/etims`



eTIMS submission log — KRA invoice submissions, status, and error handling.

What it does

Submits customer invoices to KRA's Electronic Tax Invoice Management System as required by Kenyan law.

eTIMS Workflow

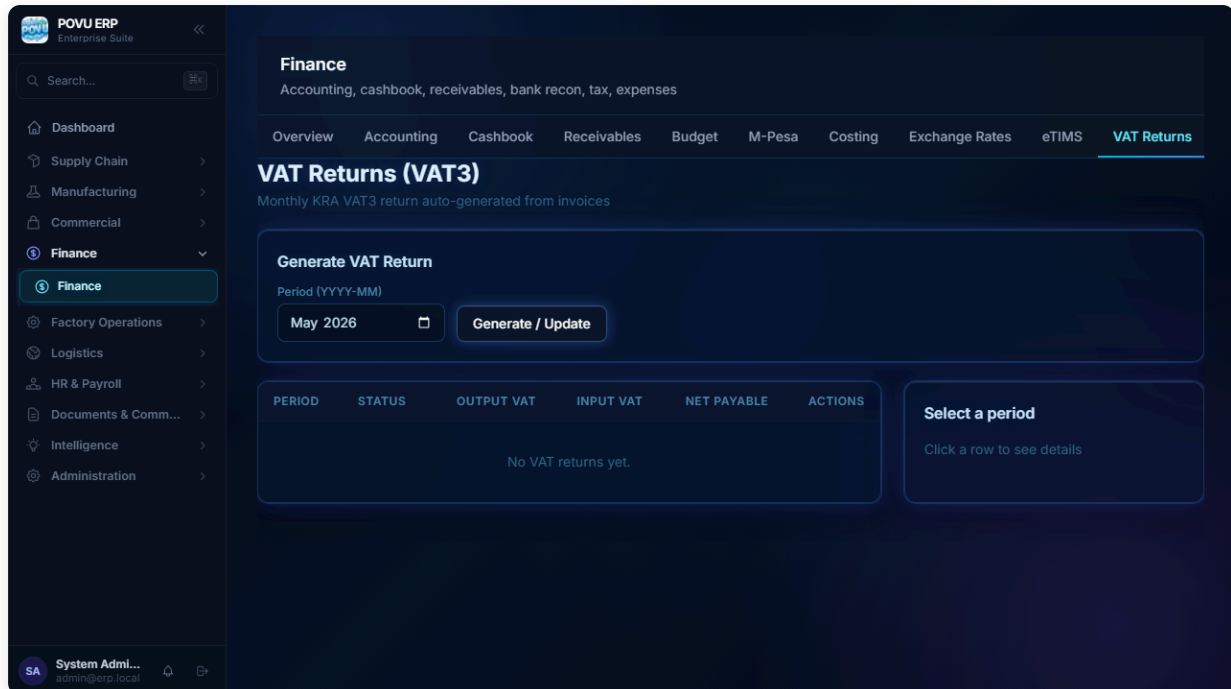
1. Customer invoice posted in Sales
2. System automatically queues for eTIMS submission
3. eTIMS tab shows: PENDING → SUBMITTED → ACCEPTED / REJECTED
4. Accepted invoices receive KRA control unit number
5. Rejected invoices show error code — fix and resubmit

Common eTIMS errors

Code	Meaning	Fix
E001	Customer PIN invalid	Update customer PIN in Customers master
E002	Product description too long	Shorten line item description to <50 chars
E003	Invoice date in future	Check system date/time; use today's date
E004	Duplicate invoice number	Invoice number already submitted; void and reissue

10. VAT Returns

Tab: VAT Returns



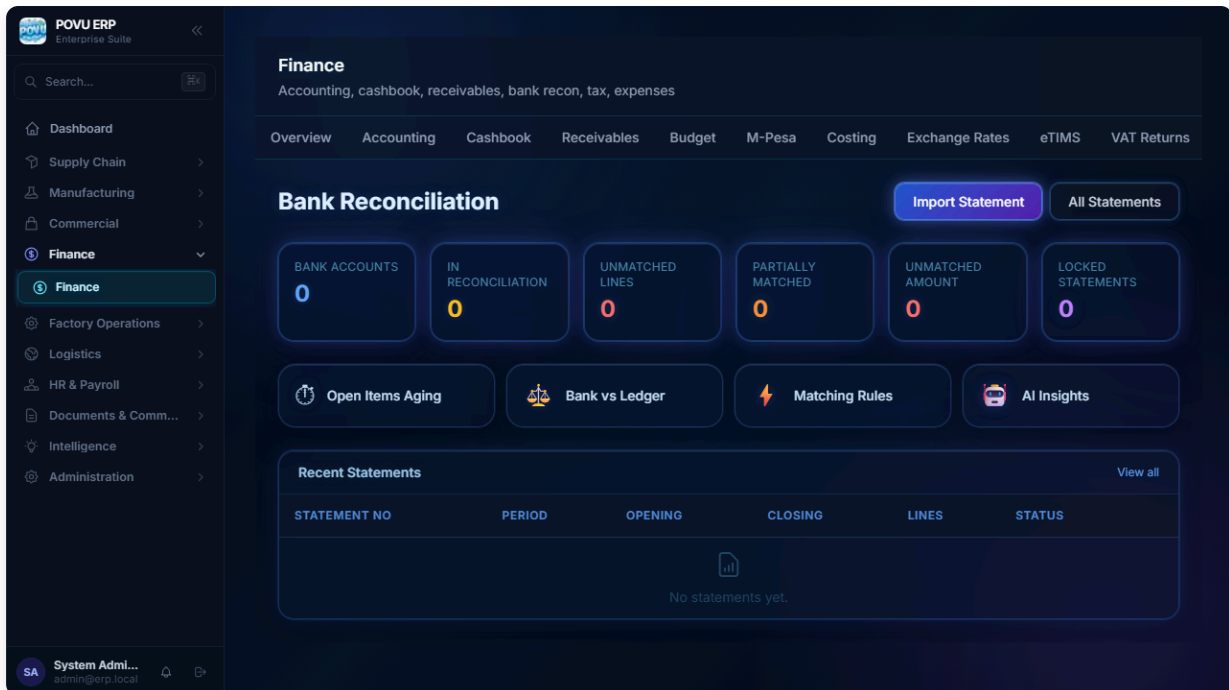
VAT return workspace — standard rated, zero rated, exempt, and input VAT summary per period.

VAT return workflow:

1. Select tax period (month)
2. System computes: Output VAT (from sales invoices) - Input VAT (from purchase invoices)
3. Review line-by-line breakdown
4. Export to KRA iTax format (CSV/XML)
5. Submit on iTax portal (manual step — not auto-submitted)
6. Record submission reference number in ERP

11. Bank Reconciliation

Route: `/dashboard/bank-reconciliation`

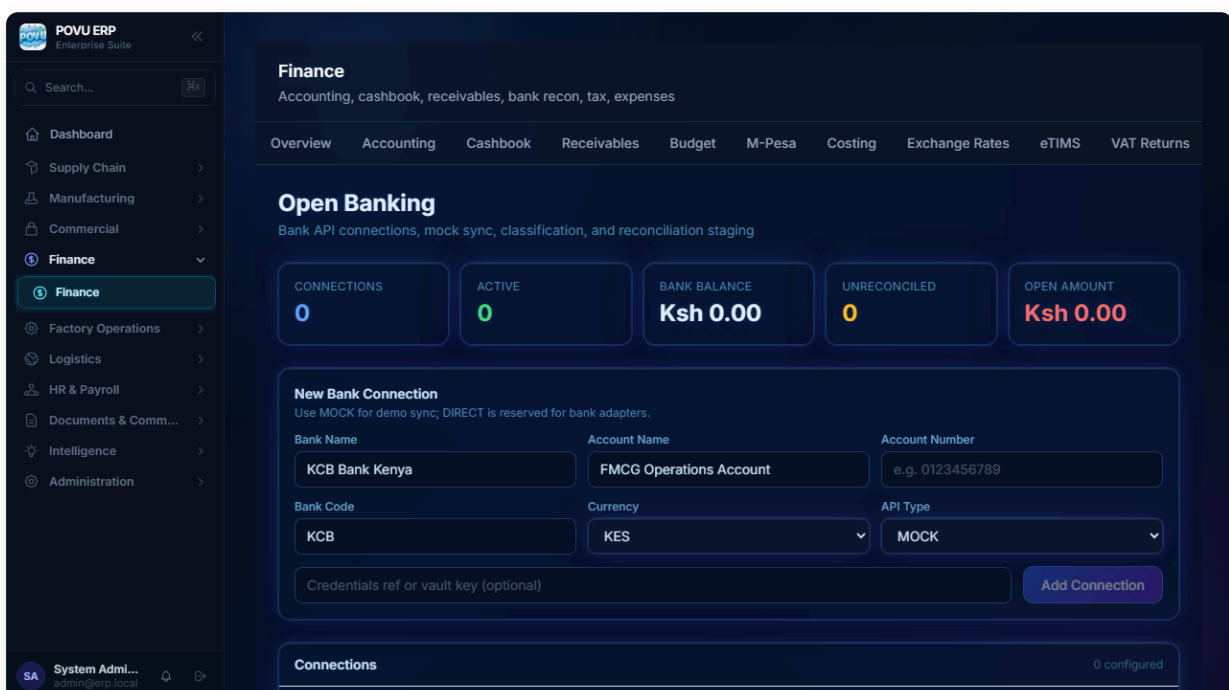


Bank reconciliation — match ERP transactions to bank statement lines.

Reconciliation workflow:

1. Download bank statement (CSV/OFX from bank)
2. Import statement in Bank Recon module
3. System auto-matches transactions by amount and date
4. Manually match unmatched items
5. Post adjustments for bank charges, interest
6. Close period when fully reconciled

Bank API Tab (auto-import):

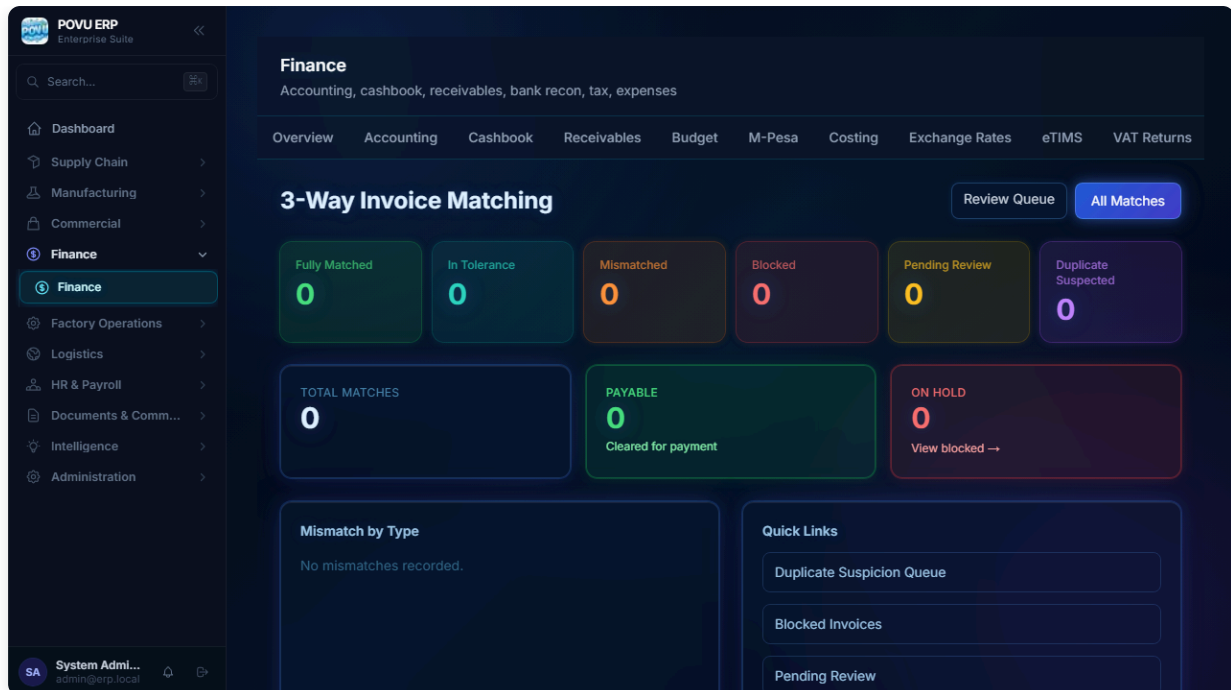


Bank API integration — automated bank statement import via open banking APIs.

Bank API settings — select bank, set sync frequency, and configure credentials.

12. Invoice Matching

Route: `/dashboard/invoice-match`



Invoice matching — 3-way match of PO, GRN, and supplier invoice.

3-Way Match

Each supplier invoice must match:

1. Purchase Order (approved price and quantity)
2. Goods Receipt Note (what was actually received)
3. Supplier Invoice (amount billed)

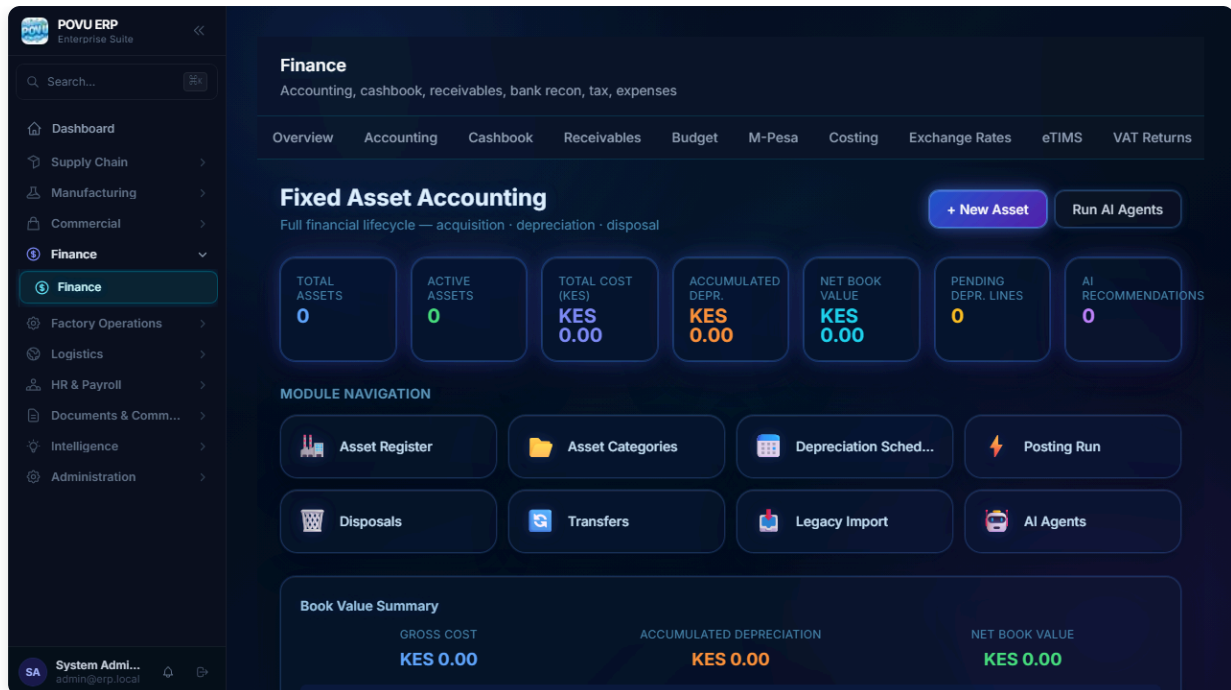
Tolerance: Configurable tolerance (e.g. $\pm 2\%$ or $\pm \text{KES } 500$) before requiring manual approval.

Match statuses:

Status	Meaning
AUTO_MATCHED	All 3 documents match within tolerance
REVIEW	Discrepancy outside tolerance — requires approval
EXCEPTION	Missing GRN or PO — cannot match
POSTED	Approved and posted to AP

13. Fixed Assets

Route: </dashboard/fixed-assets>



Fixed asset register — assets, net book value, depreciation schedule.

Asset lifecycle

1. **Create asset** — enter purchase cost, useful life, depreciation method
2. **Capitalize** — post capitalization journal
3. **Depreciate** — run monthly depreciation (straight-line or reducing balance)
4. **Revalue** (if applicable) — enter revaluation amount
5. **Dispose** — record sale or write-off; post disposal gain/loss

Depreciation methods: Straight Line / Reducing Balance / Units of Production

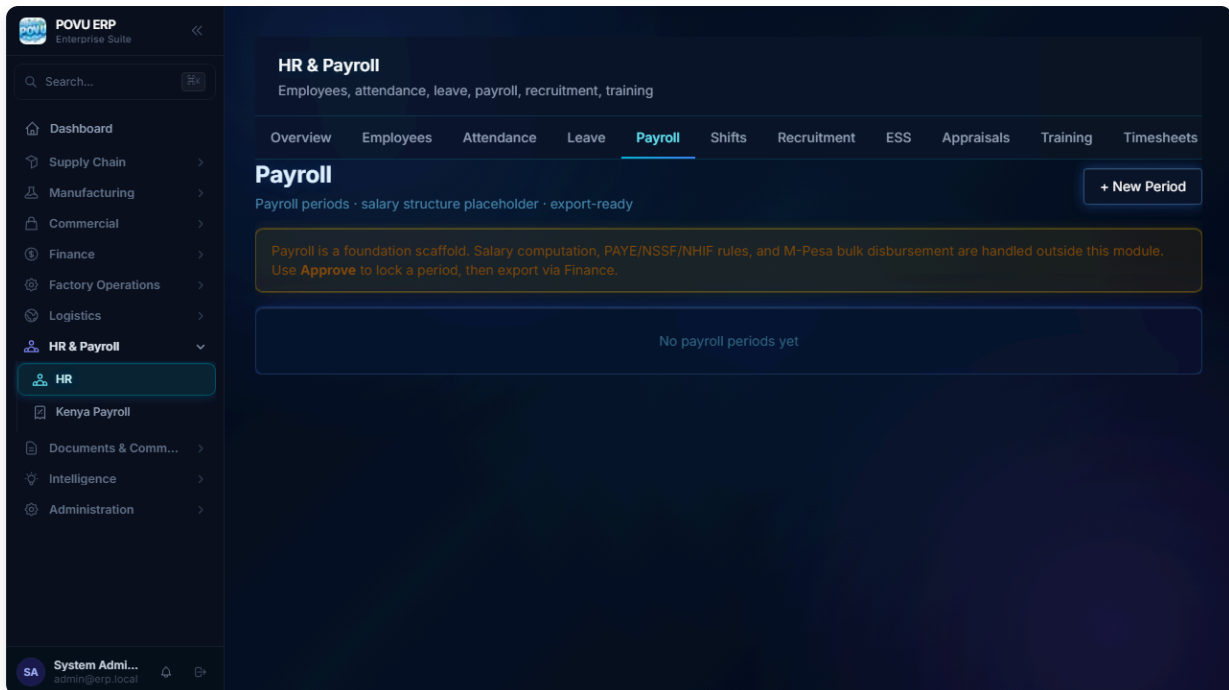
14. Payroll

Route: `/dashboard/payroll`

Required permission: `payroll.view`

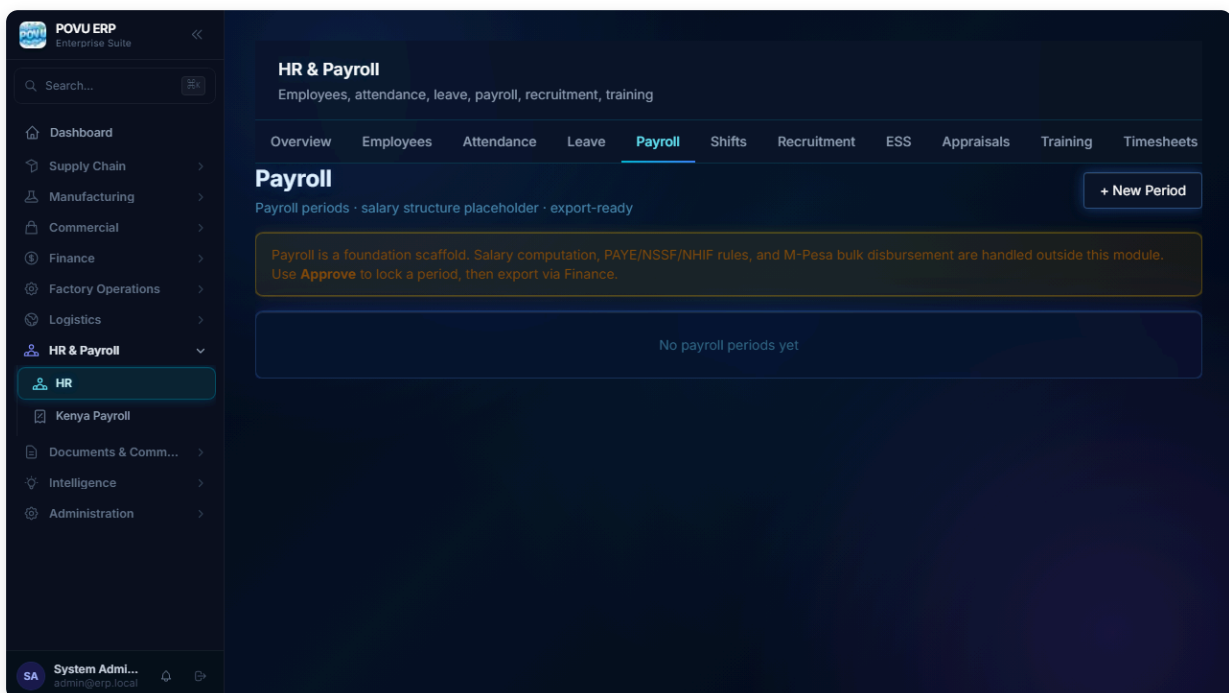
What it does

Process monthly payroll — calculate gross pay, deductions (PAYE, NSSF, NHIF/SHIF, NITA), net pay, and generate payslips.



Payroll overview — current period status, total payroll cost, and run controls.

Payroll Profiles Tab



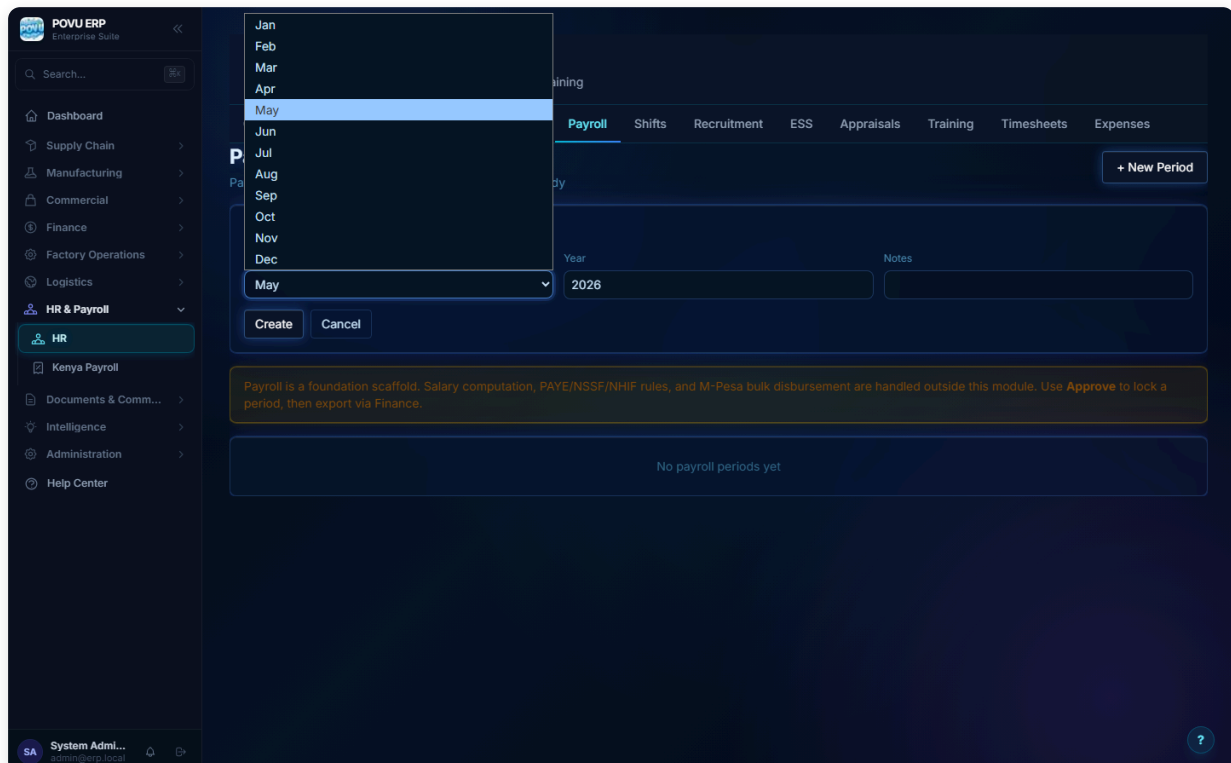
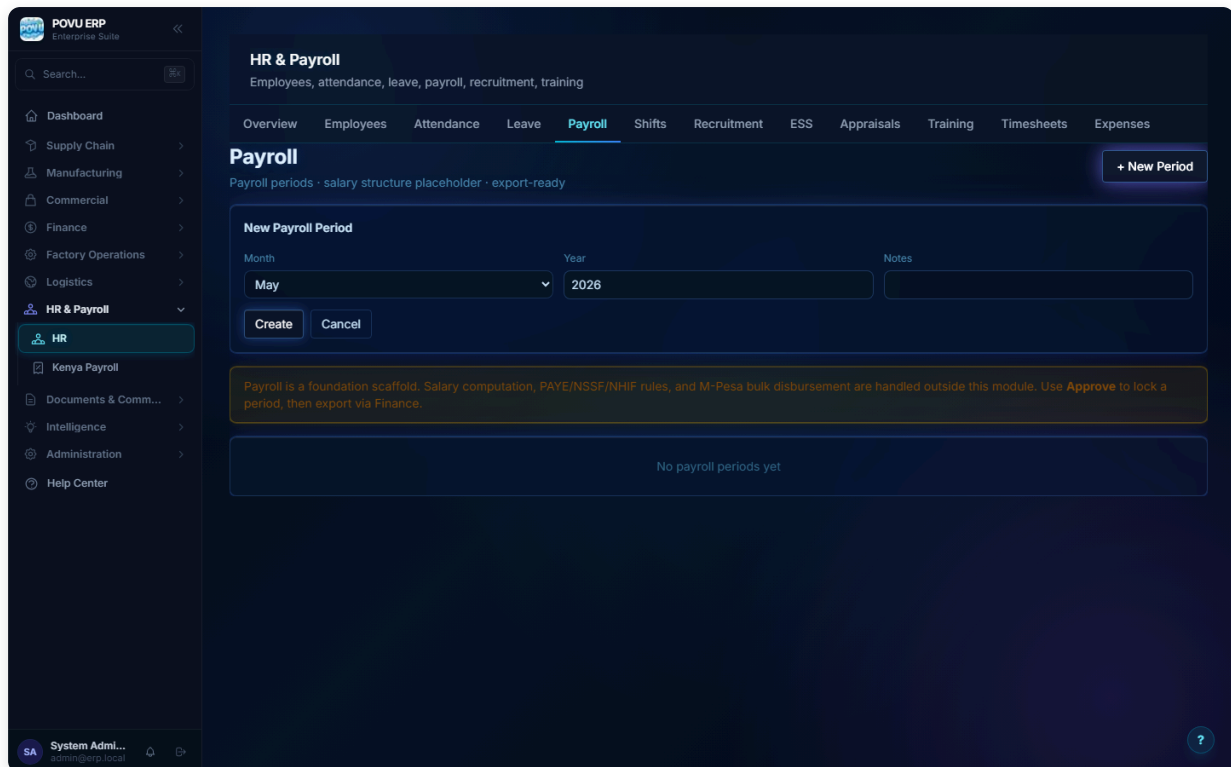
Payroll profiles — employee salary structures, allowances, and deductions.

Each profile contains:

- Basic salary
- Allowances (house, transport, commuter)
- Statutory deductions (PAYE, NSSF, NHIF/SHIF, NITA)
- Other deductions (loans, advances, pension)
- Tax relief (personal relief, insurance relief)

Payroll Run — Step by Step

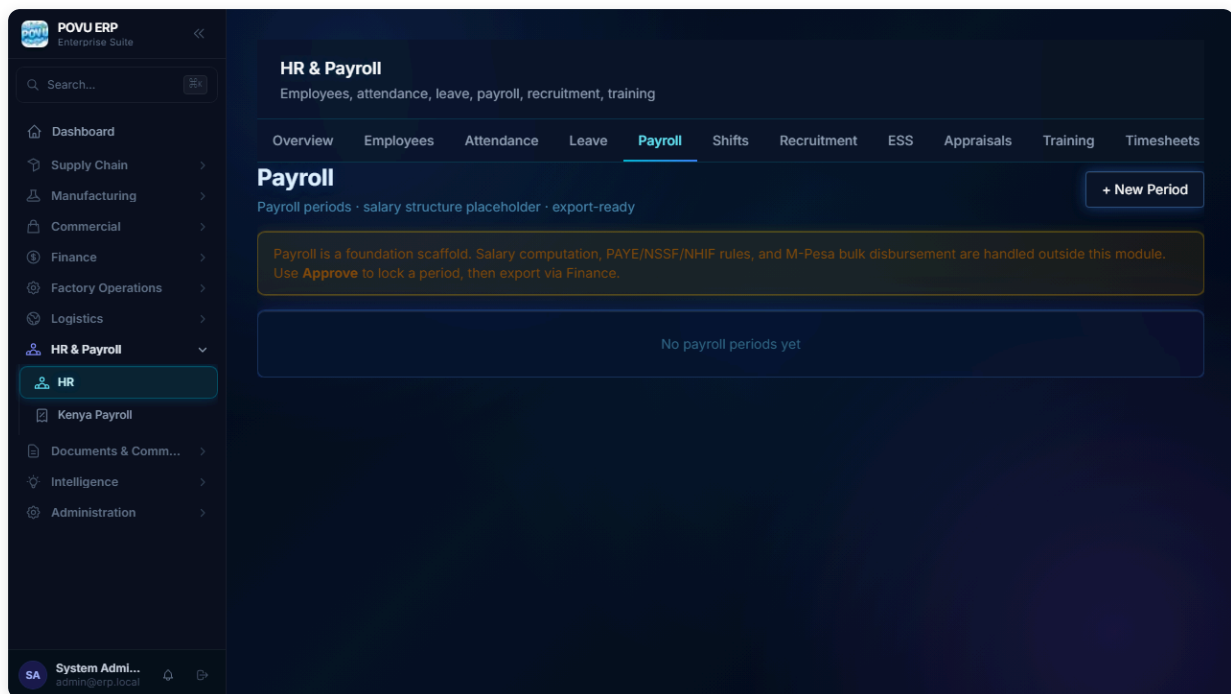
1. Go to Payroll → New Payroll Period



2. Select month and year
3. Click **Generate** — system calculates for all active employees
4. Review exceptions (missing profiles, mid-month joiners, leavers)
5. Process adjustments (overtime, bonuses, deductions)

6. **Preview** payroll summary
7. **Approve** payroll — triggers payslip generation
8. **Post** payroll — creates GL journal entries (salaries payable)
9. **Pay** — trigger bank transfer file / M-Pesa bulk payment
10. Mark as **Paid** — payslips accessible to employees via ESS

Payroll Reports Tab



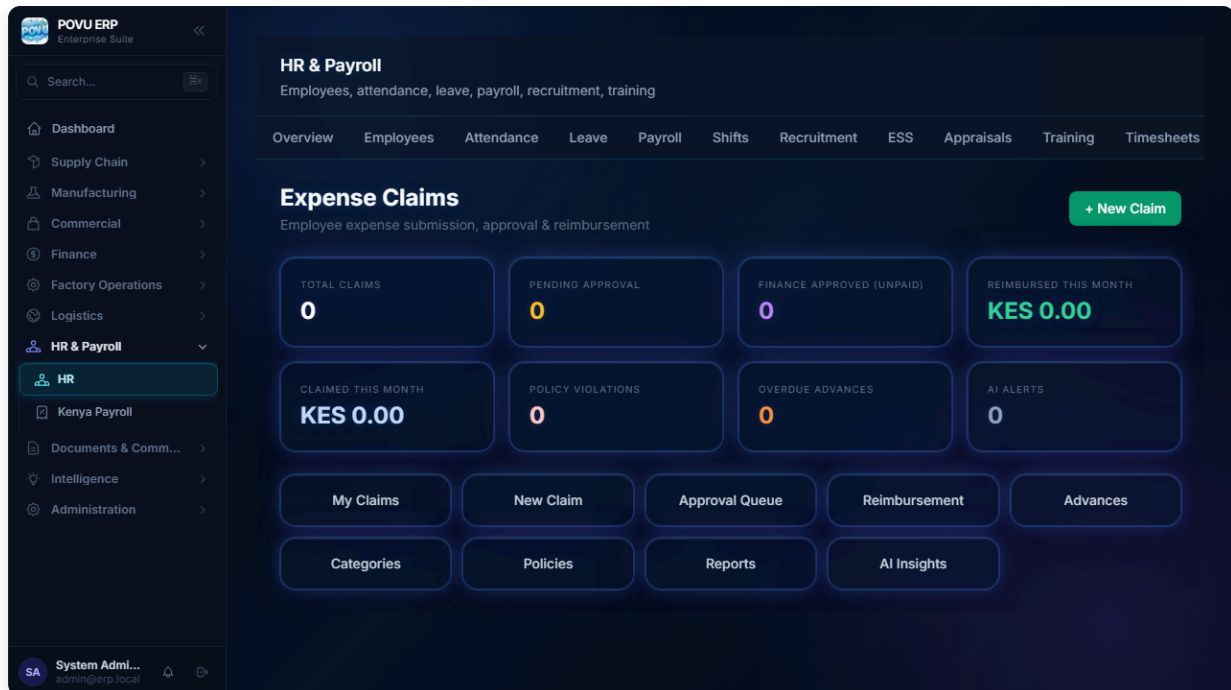
Payroll reports — payslips, PAYE returns, NSSF/NHIF schedules, bank payment file.

Statutory reports generated:

- P9 form (PAYE annual summary per employee)
- NSSF contribution schedule
- NHIF/SHIF contribution schedule
- NITA levy return

15. Expenses

Route: `/dashboard/expenses`



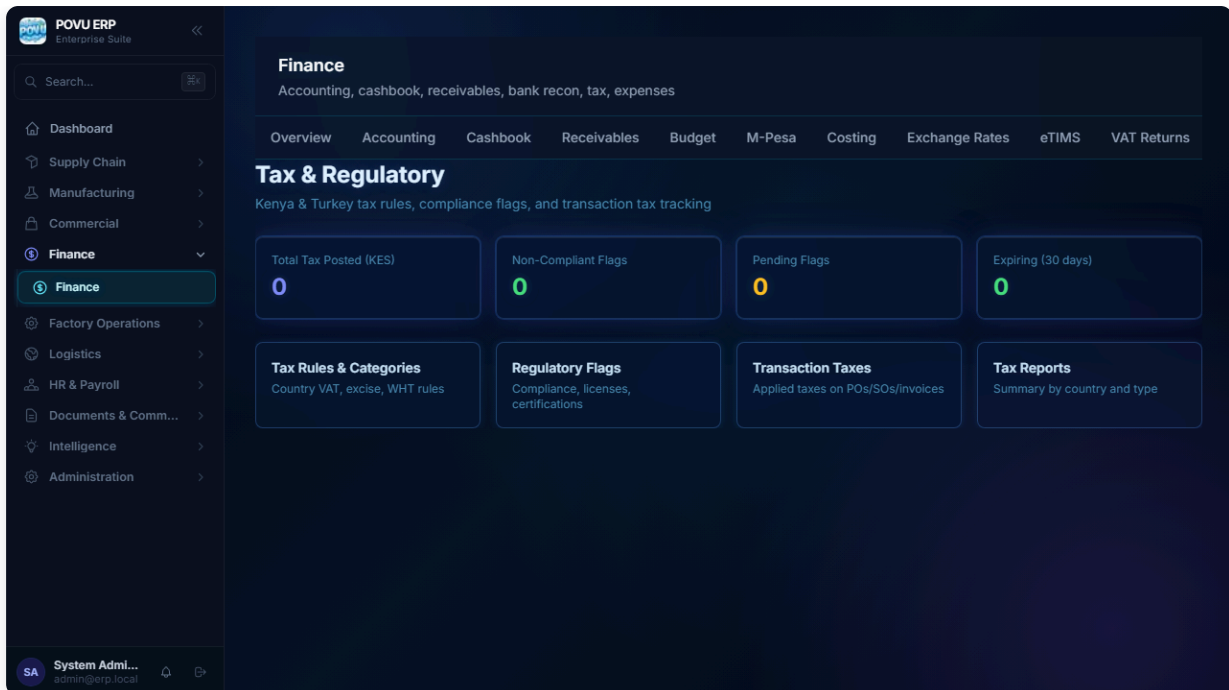
Expense claims — submit, approve, and reimburse employee expenses.

Expense workflow:

1. Employee submits expense claim (category, amount, receipt upload)
2. Manager reviews and approves/rejects
3. Finance approves for payment
4. Reimbursement via payroll or direct payment

16. Tax Management

Route: `/dashboard/tax`

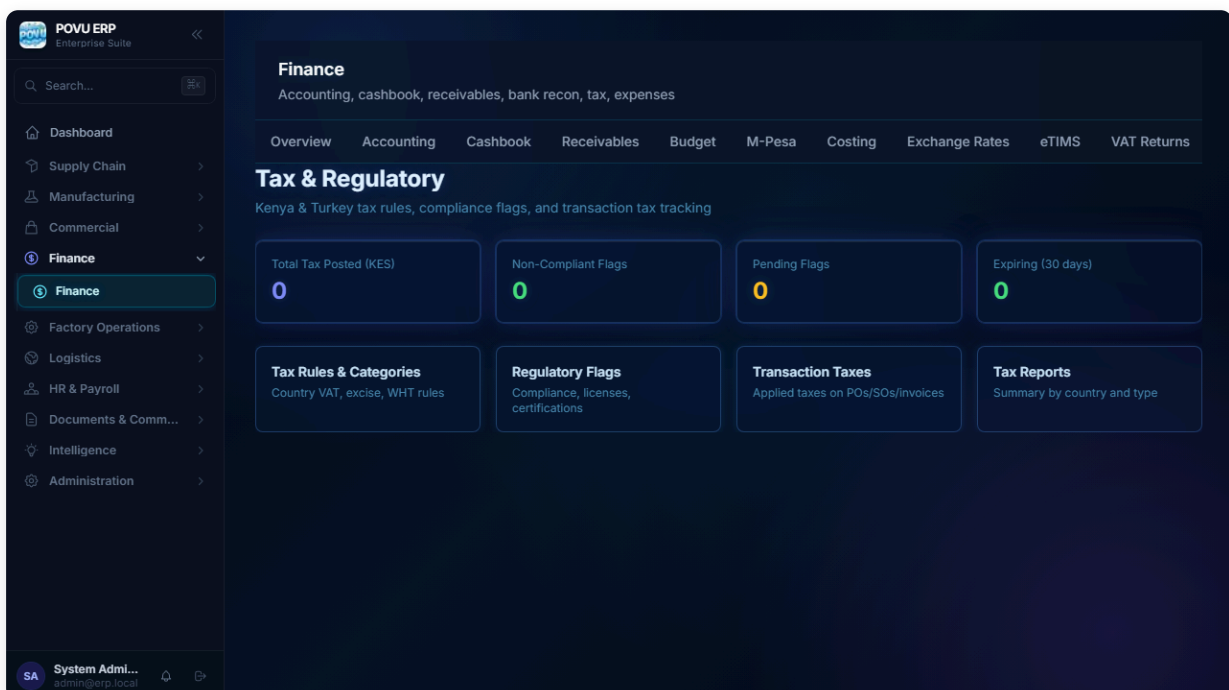


Tax dashboard — all tax obligations with due dates and filing status.

Tax types tracked:

- VAT (16% standard, 0% zero-rated, exempt)
- PAYE (employee income tax)
- WHT (withholding tax on services)
- Corporate income tax provisions
- Turnover tax (TOT) for applicable entities

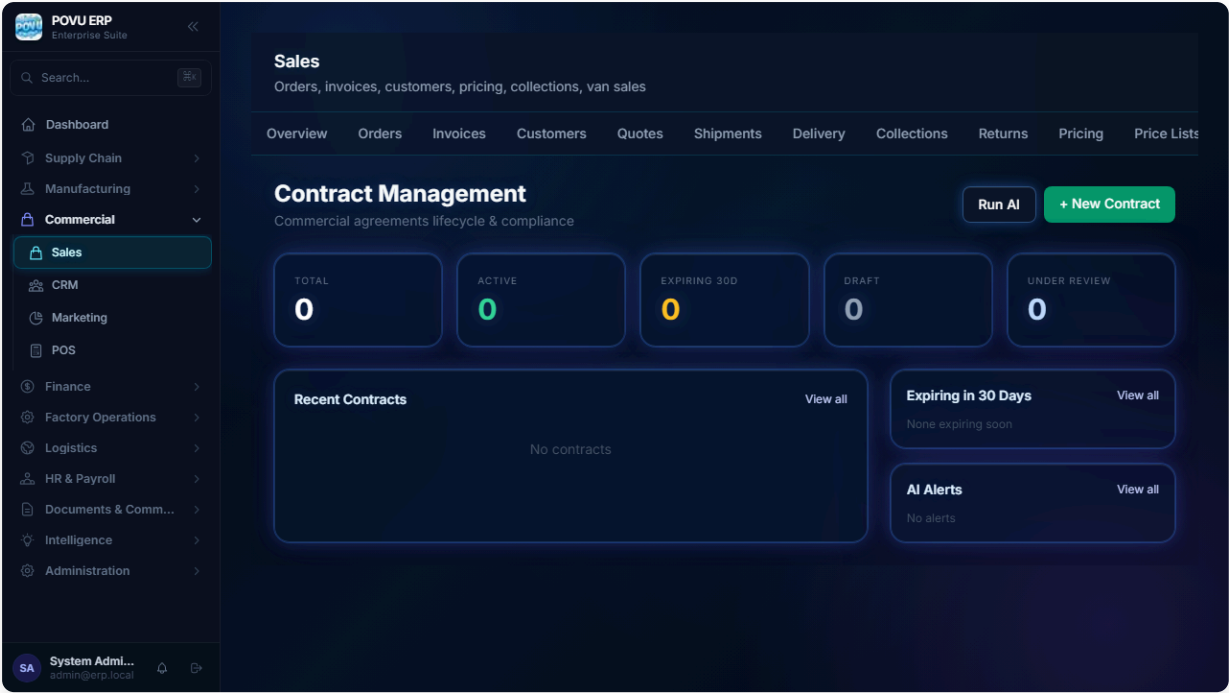
Tax Tab in Finance:



Tax code configuration — define tax rates and rules for sales and purchase transactions.

17. Financial Contracts

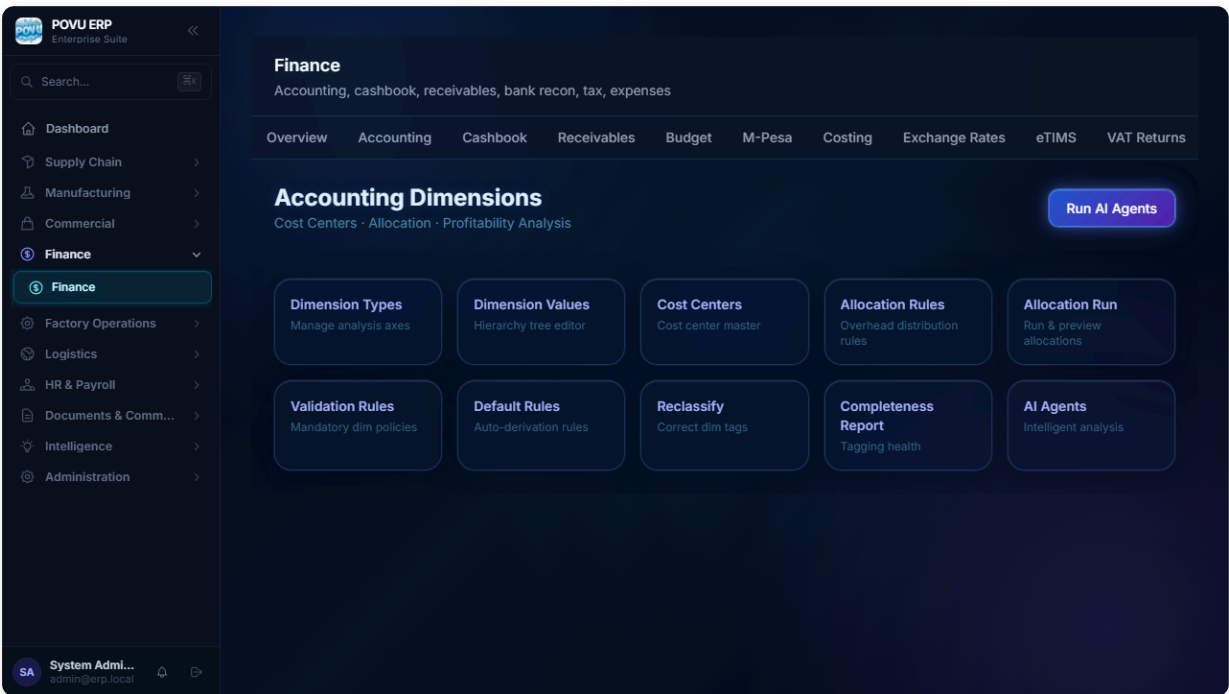
Route: `/dashboard/contracts`



Financial contracts — supplier and customer long-term agreements with payment schedules.

Contract types: Lease / Service Agreement / Loan / Framework / License

Dimensions Tab:



Financial dimensions — cost centres, projects, and departments for GL tagging.

18. Common Mistakes & Troubleshooting

Problem	Cause	Fix
Journal won't post	Debits $\neq$ Credits	Balance the journal — total debit must equal total credit
eTIMS rejection	Customer PIN missing	Add PIN in Sales → Customers → Tax Details tab
Payroll generates wrong PAYE	Employee tax profile out of date	Update payroll profile before running; check tax bands
Bank recon has unmatched items	Bank charges not in ERP	Post bank charge journal; then re-run auto-match
Invoice match exception	No GRN created for PO	Complete goods receipt in Procurement → Deliveries
Fixed asset not depreciating	Asset not activated	Set asset status to Active and set capitalization date
VAT return mismatch	Credit notes not posted	Ensure all credit notes are posted before period close

19. Related Modules

This Action	Connects To
Goods receipt (GRN)	Invoice Match → 3-way match
Sales invoice posted	eTIMS submission + AR aging
Customer payment	Bank Reconciliation + AR clearance
Payroll approved	GL journal (Salaries payable)
Production work order	Costing → actual cost capture
Expense approved	Payroll (reimbursement) or Bank Payment